

SS1 Commercial Track: Commerce Diagnostic (Part 2)

Scope: Business Structures & Aids to Trade
Questions 21 - 40

No.	Question & Options	Ans	Diagnostic Focus
21	A business owned and managed by one person is a: A) Partnership B) Sole Proprietorship C) Private Company D) Cooperative	B	Legal forms of business.
22	The liability of a sole trader is said to be 'Unlimited' because: A) There is no limit to his profit B) His private property can be sold to pay business debts C) He can employ any number of people D) He can open many branches	B	Legal Liability concept.
23	A major advantage of a Partnership over a Sole Proprietorship is: A) Ease of formation B) Quick decision making C) Greater capital resources D) Secrecy of affairs	C	Comparative analysis.
24	The document that governs the internal management of a Limited Liability Company is: A) Memorandum of Association B) Articles of Association C) Prospectus D) Certificate of Trading	B	Corporate Governance.
25	A 'Public Limited Company' (PLC) can raise capital by: A) Borrowing from family B) Issuing shares to the general public C) Asking the Governor D) Selling its furniture	B	Capital Formation.
26	Insurance is based on the principle of 'Indemnity', which means: A) To make a profit from a loss B) To restore a person to his former financial position C) To punish the insurer D) To pay double the value	B	Insurance Principles.
27	The principle of 'Utmost Good Faith' (Uberrimae Fidei) requires that: A) The insurance company must be rich B) The insured must disclose all material facts C) The premiums must be low D) Claims must be paid in cash	B	Ethical standards in trade.
28	A 'Current Account' in a bank is unique because it allows the use of: A) Withdrawal slips B) Cheques C) ATM cards only D) Passbooks	B	Banking Services.
29	A bank 'Overdraft' is a facility where: A) The bank gives a long-term loan B) A customer withdraws more than is in his account C) The bank closes the account D) A customer deposits a large sum	B	Credit facilities awareness.
30	'Warehousing' aids trade by: A) Increasing the price of goods B) Providing storage until	B	Aids to Trade (Storage).

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	goods are needed C) Transporting goods across the sea D) Printing newspapers		
31	The primary function of 'Advertising' is to: A) Force people to buy B) Create awareness and inform consumers C) Increase the cost of production D) Please the media	B	Marketing communication.
32	Which of the following transport modes is best for urgent, lightweight international delivery? A) Sea B) Rail C) Air D) Road	C	Logistics choice.
33	A 'Common Carrier' is a person or company that: A) Drives his own car B) Transports goods for anyone who pays the fee C) Builds roads D) Repairs ships	B	Transport Law concepts.
34	'Telefax' and 'E-mail' are modern methods of: A) Transportation B) Production C) Communication D) Warehousing	C	Aids to Trade (Communication).
35	A 'Charter Party' is a contract used in: A) Air transport B) Sea transport C) Rail transport D) Pipeline transport	B	Specialized Documentation.
36	Which type of insurance covers a ship and its cargo? A) Life Insurance B) Marine Insurance C) Fire Insurance D) Theft Insurance	B	Risk Management types.
37	The central bank of a country is primarily responsible for: A) Dealing with individuals B) Issuing currency and managing monetary policy C) Selling groceries D) Building schools	B	Banking structure.
38	An 'Invisible Trade' refers to the trade in: A) Stolen goods B) Services C) Hidden treasures D) Small items	B	Balance of Payments concepts.
39	Which body in Nigeria is responsible for promoting and regulating trade at the national level? A) NAFDAC B) Ministry of Trade and Investment C) EFCC D) Police Force	B	Regulatory awareness.
40	Diagnostic Insight: High scores in questions 22, 24, 27, and 33 indicate a student has the "Institutional Literacy" needed for the Commercial track.	-	Pathway Fit Check.